Capex vs. Opex Shift

Owning vs. renting intelligence

PROFESSIONAL DEFINITION

The Capex-vs-Opex Shift describes how cloud and AI move IT spending from upfront capital investment in owned assets to ongoing operating expense for rented capability.

WHO DEVELOPED IT

A cloud-economics principle long discussed in IT-strategy and finance, central to the cloud value proposition.

WHY IT WAS DEVELOPED

It was developed to clarify the financial trade-off between owning infrastructure and renting it, with implications for flexibility, cost control and risk.

FIGURE 1 · CAPEX VS. OPEX SHIFT

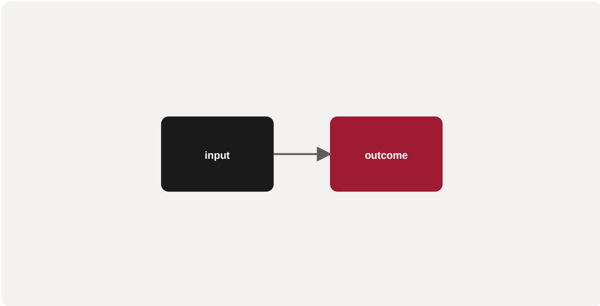

Figure 1. A schematic of the Capex vs. Opex Shift as applied in BARBM312 (illustrative).

HOW IT IS USED

Owning versus renting intelligence is evaluated on cost, flexibility and risk; the shift to opex is weighed against long-run cost at scale.

WHEN IT IS USED

When deciding AI infrastructure ownership and modelling total cost.

BY WHOM IT IS USED

CFOs, CIOs and procurement.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It frames the financial structure of AI investment, highlighting that opex flexibility can become a large recurring cost at scale.

RELATED FRAMEWORKS IN THIS COURSE

- **AI Value Stack** · Slibrary 9
- **Compute Cost Pyramid** · Slibrary 9
- **Token Economics** · Slibrary 9
- **Hyperscaler Dependency Map** · Slibrary 9

SOURCES (HARVARD REFERENCING STYLE)

Carr, N. (2008) The Big Switch. New York: Norton.

Armbrust, M. et al. (2010) 'A view of cloud computing', CACM, 53(4).